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“The infusion of international funds will boost competition and drive innovation, resulting in improved consumer offerings across the country”



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“There are two main options: build your own distribution network—which takes time and deep pockets—or acquire an existing player with strong distribution in place”

models, vernacular content, and phygital outreach are unlocking new markets. Irda's progressive stance (like regulatory sandbox initiatives) is also encouraging homegrown brands to innovate for the sector,” he adds.

Interestingly, the success of these digital natives could attract global interest. Patni notes that many local players may become acquisition targets. “Multinational companies may prefer to acquire and scale up an already tech-savvy Indian insurer rather than build from scratch,” he says. That mirrors a trend seen elsewhere in India's financial ecosystem as well—where deep local knowledge and digital prowess are proving decisive.

Traditional players are also jumping on the tech bandwagon. For example, ICICI Lombard has carved its digital business into a separate unit so that it can compete just like a start-up. But a large part of its business still comes from non-digital channels.

The regulatory landscape can further encourage innovation. Boutique insurance licences for companies focusing on specialised policies like unit-linked or motor insurance can lower capital requirements for focused players and unleash a new wave of digital-first insurers, as per experts.

Ultimately, success in India's insurance market may hinge on solving the twin challenges of affordability and access. “The Indian insurance market is highly price-sensitive, with as many as 45% of respondents in a Policybazaar survey citing affordability as a barrier to insurance purchase,” says Singh. He adds that new-age, affordable, and value-added products are the need of the hour.

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ANOTHER TURNING POINT for India's insurance sector could be a proposed composite licence regime. This framework would allow insurers to operate across multiple segments—life and general insurance—under a single licence, rather than having to set up separate entities for each line of business.

For insurers backed by banks that operate in only one domain, this opens up a significant growth opportunity. This allows them to better leverage their distribution networks and deepen customer relationships across product categories.

For promoters who already have life and general businesses, the composite licence regime could bring operational efficiencies. Common functions like IT, HR, investments, marketing, and compliance could be shared across life and non-life segments. This kind of back-office integration—while keeping separate CEOs or business heads for life and general arms—could significantly reduce costs and improve profitability. However, these players will also need to evaluate whether to merge their businesses into a single composite entity or continue running them as separate arms with shared infrastructure.